



KCB GROUP PLC INVESTOR PRESENTATION. **FY17** FINANCIAL RESULTS

JOSHUA OIGARA GROUP CEO & MD

LAWRENCE KIMATHI GROUP CFO

KCB Group at a glance



6,483 staff

15.7M Customers

153,431 shareholders

Market Capitalization \$1.5B

Our Purpose, Values and Strategic Objectives

Excellence in
Customer
experience:
NPS target of 60%

Digital financial
services / AI:
NFI contribution
40%



Excellent
operations
performance:
CIR 45%

Outstanding
employee
engagement:
85% satisfaction
level

Strong shareholder value:
ROE >21%,

Growth in Youth and Women enterprises

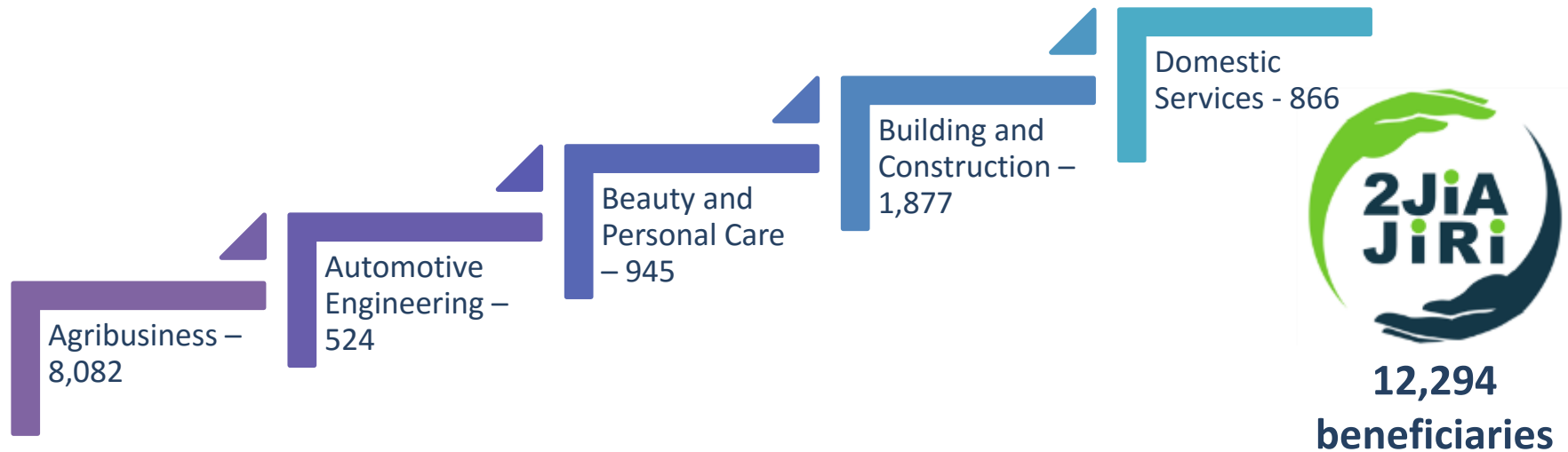
2017 Group Awards



Recognition of KCB Group:

- **The Banker Awards 2017**
 - Bank of the Year Kenya
- **Sustainable Finance Catalyst**
- Best Bank in Sustainable Finance (Tier 1 Banks)
 - **Euro Money Awards**
 - Best Bank in Kenya
- Best Bank for Corporate Social Responsibility in Africa
 - **Africa Investor**
- Best Performing Company
 - Best Ai 40 CEO

KCB 2jiajiri Programme highlights



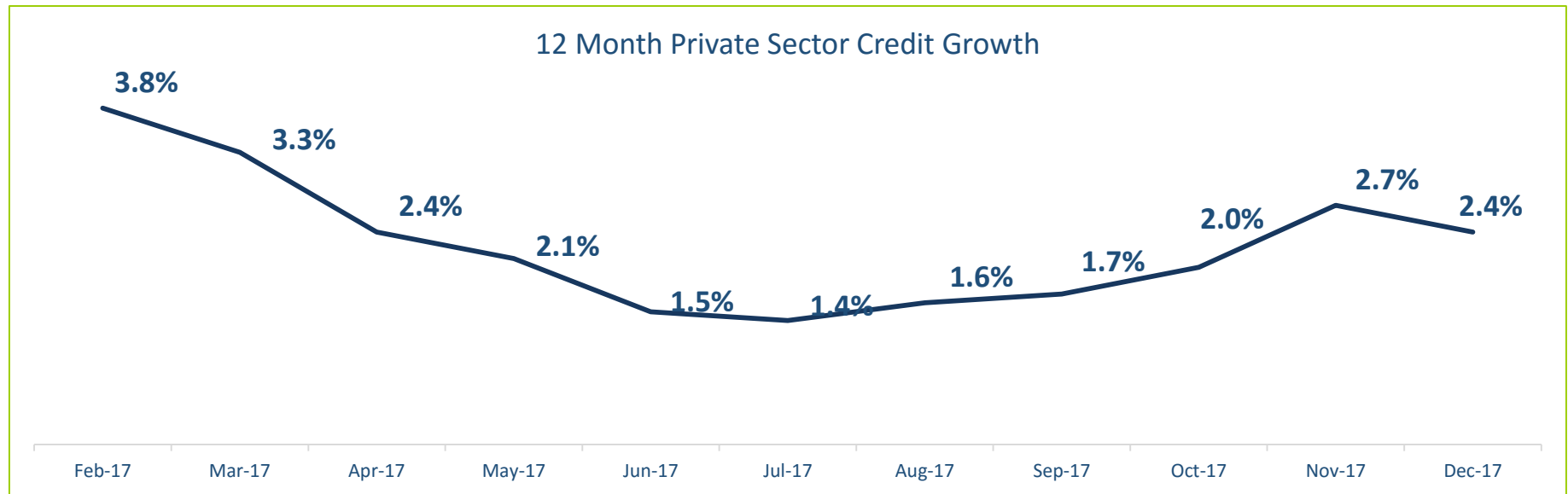
4,519 Business incubation interventions

- 213 groups with 3,587 individuals
- 932 individuals

Future of 2jiajiri:

- Catalyze job and wealth creation for **at least 100,000 youth** engaged in the informal sector within Eastern Africa
- Investment of **over KShs 2 billion** to nurture and grow youthful and SME entrepreneurs

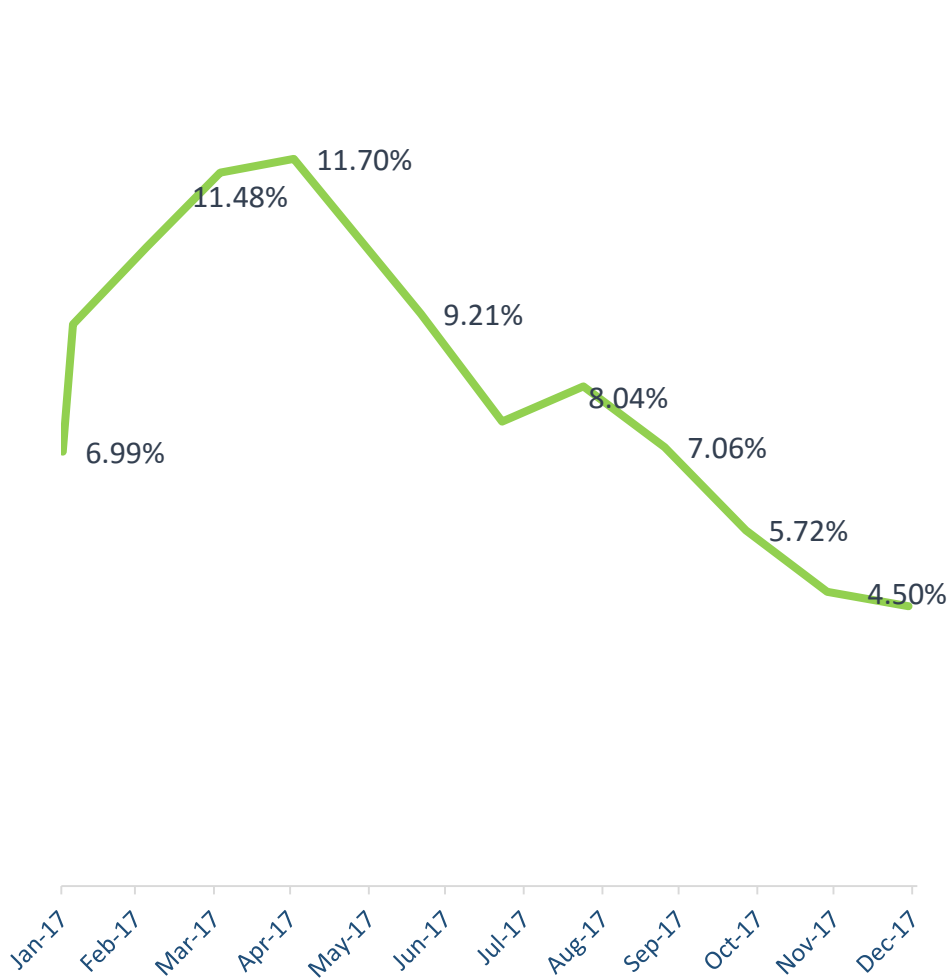
Improvement in the Macro-Economics: Kenya



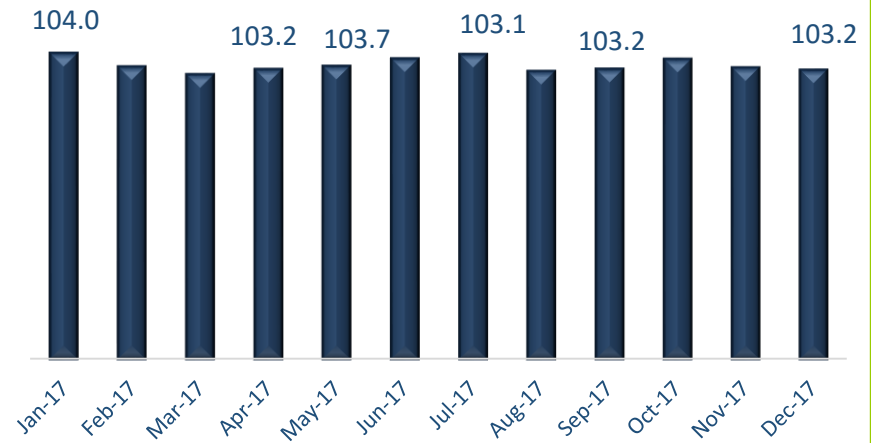
Source: CBK, WB

Improvement in the Macro-Economics: Kenya

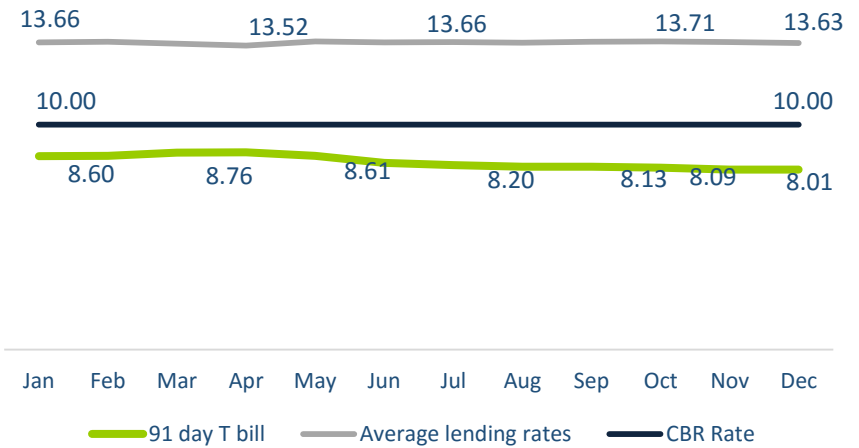
Overall Inflation



USD/KES Exchange Rate

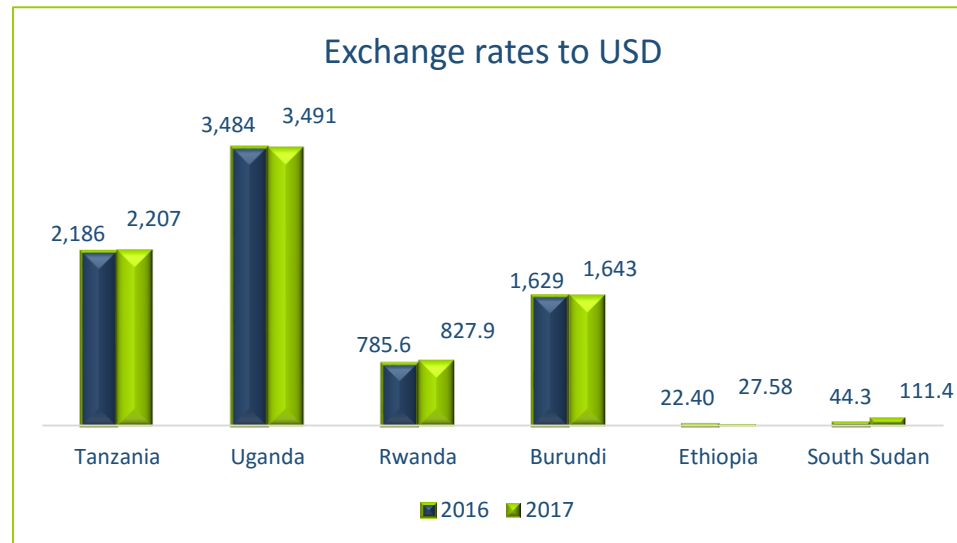
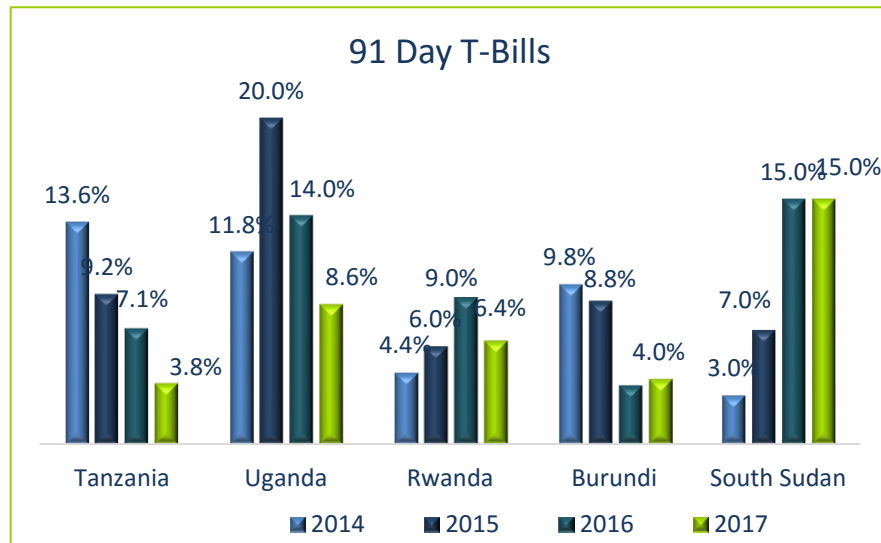
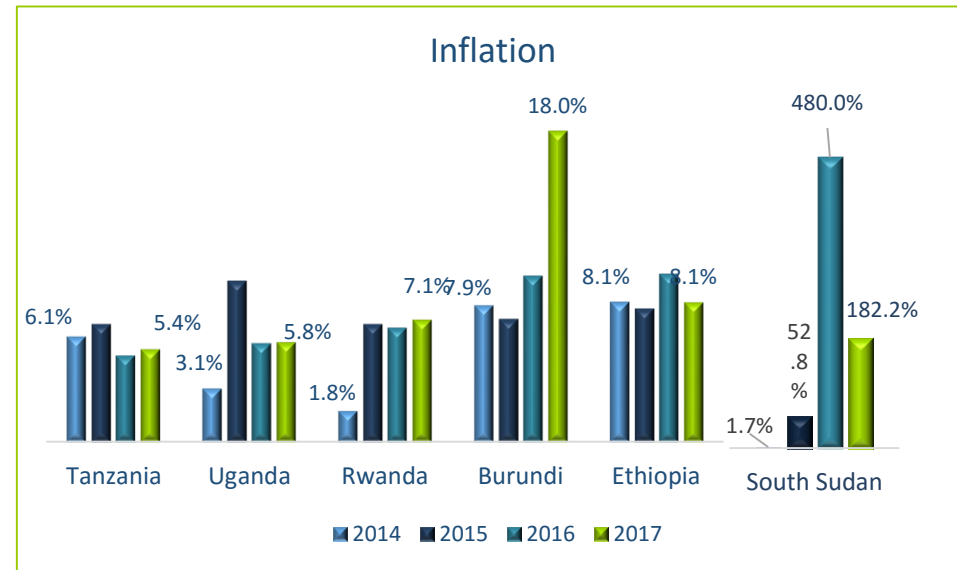
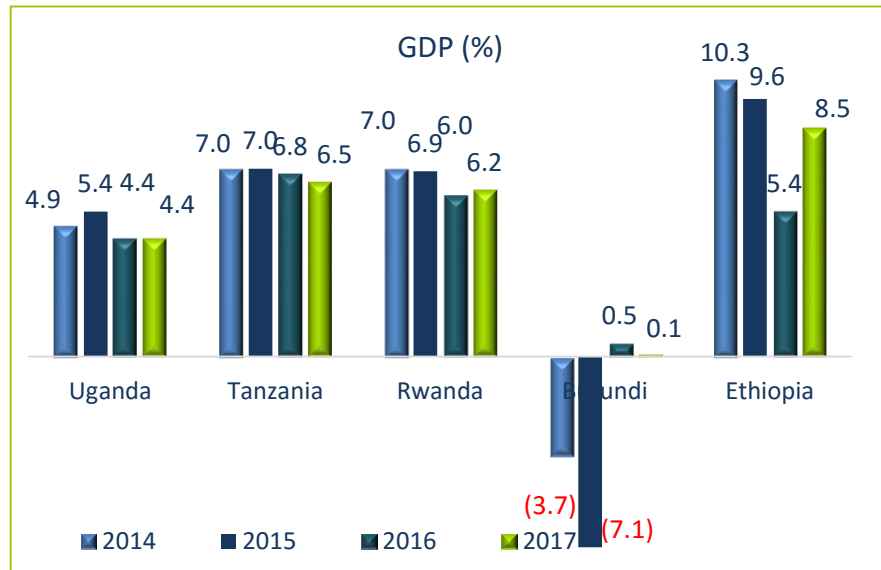


Interest Rate Evolution (%)



Sources: CBK, KNBS

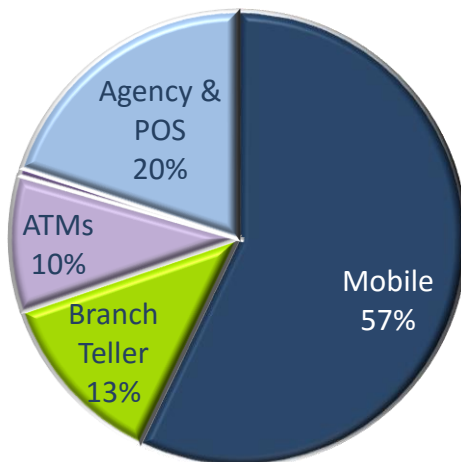
Macro-Economic Highlights: Regional



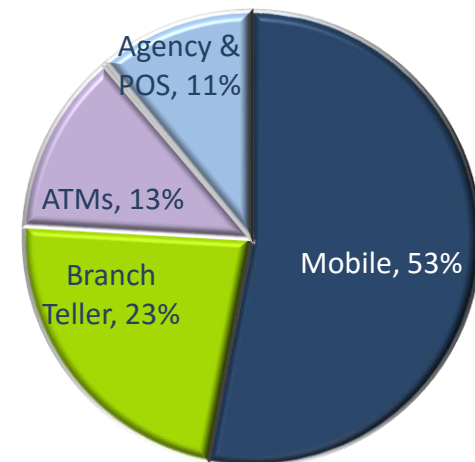
Sources: IMF, Bloomberg

87% of Transactions outside the Branch

2017



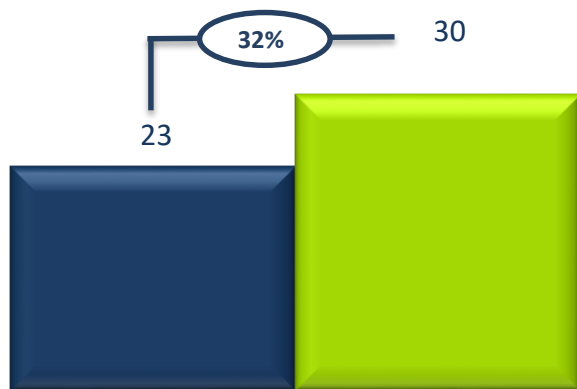
2016



Source: KCB data

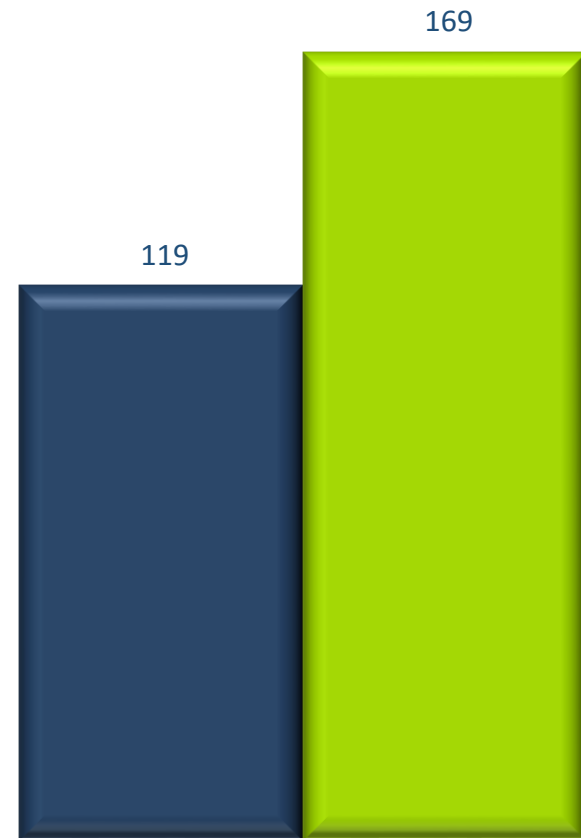
42% growth in Agency and POS volumes

Agency and POS transactions (M)



■ 2016 ■ 2017

Agency and POS volume (KShs B)

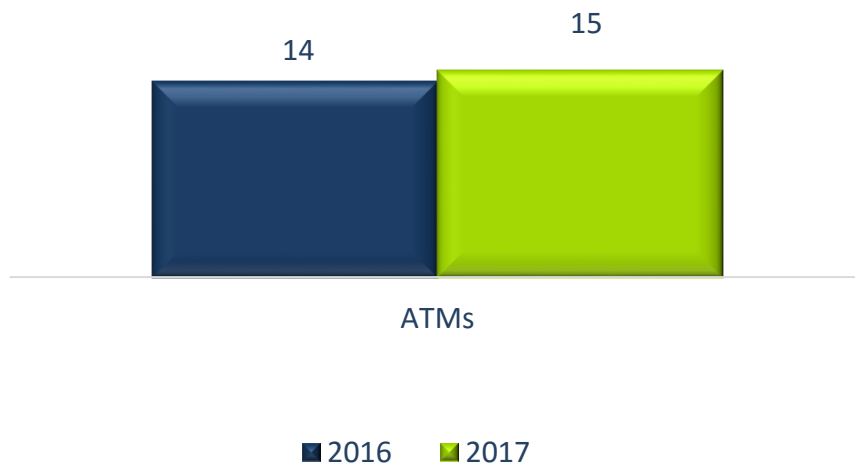


■ 2016 ■ 2017

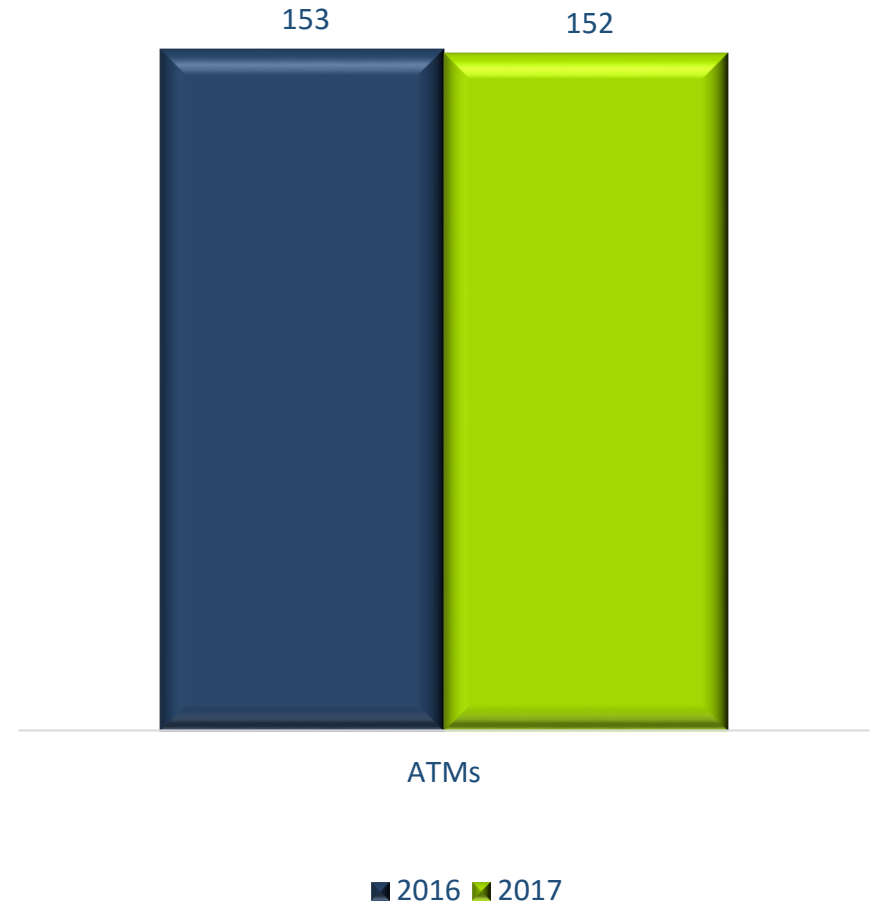
Source: KCB data

Marginal change in ATM volumes

ATM transactions (M)



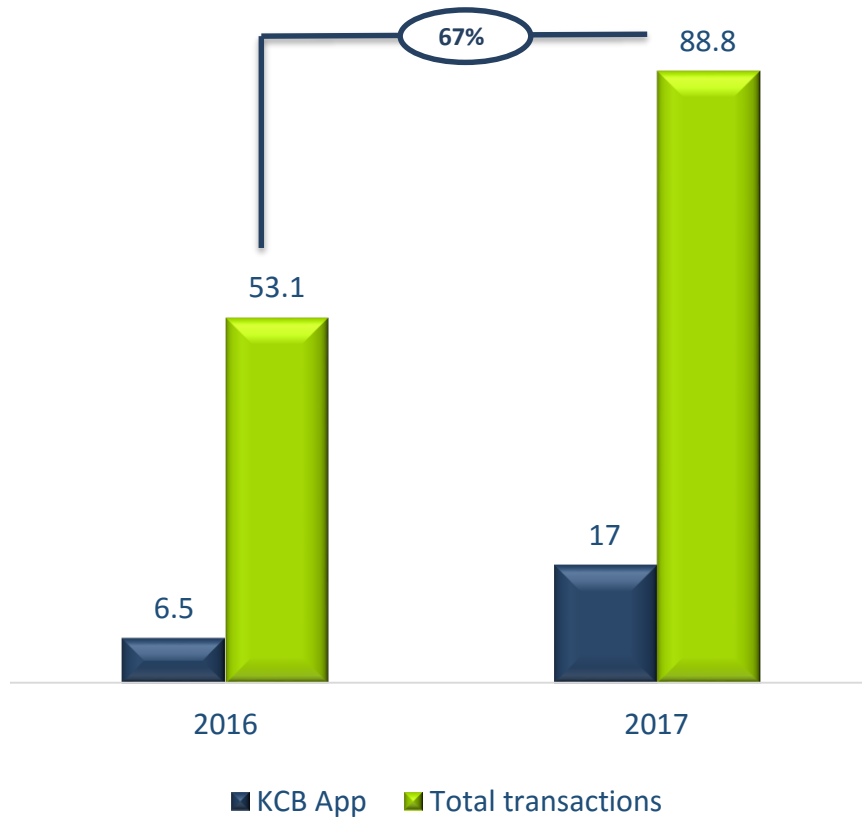
ATM volume (KShs B)



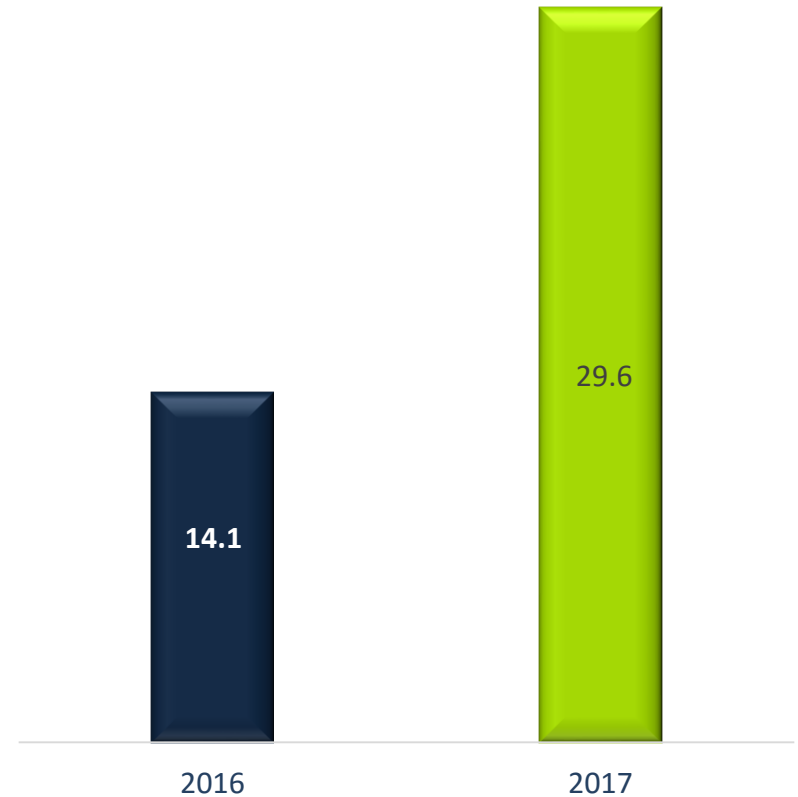
Source: KCB data

Sustained Growth on Mobile

Mobile transactions (M)



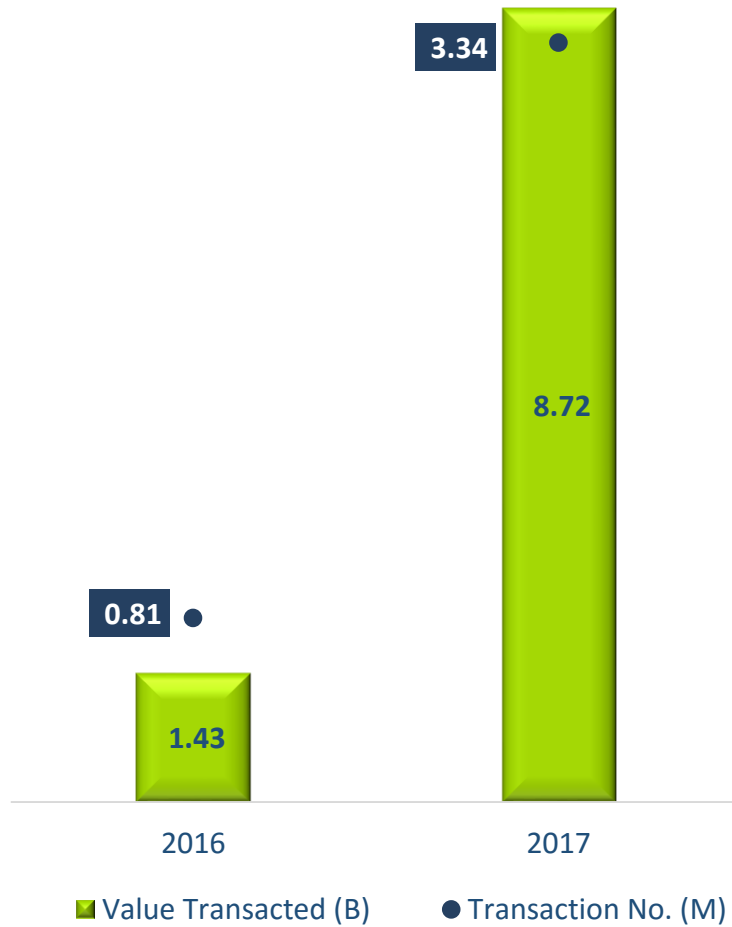
Mobile Loan Disbursement (KShs B)



Source: KCB data

Over 500% growth on the KCB App

KCB Mobile App Volumes

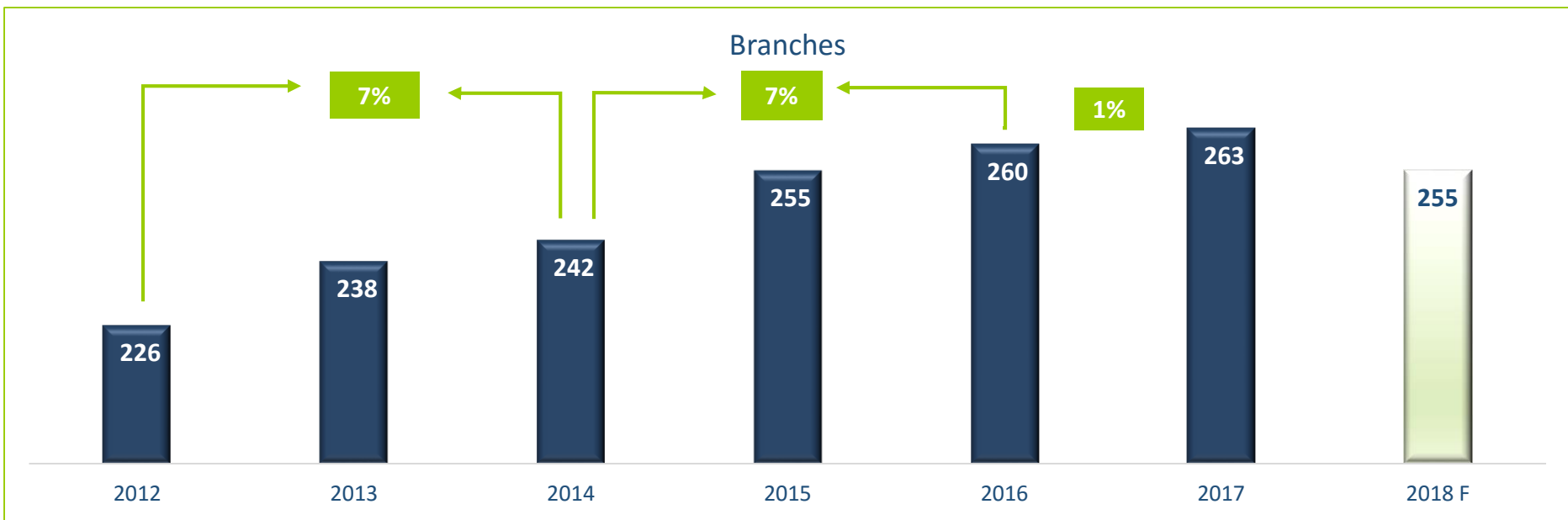


Customer Utilization



Source: KCB data

Channel Expansion

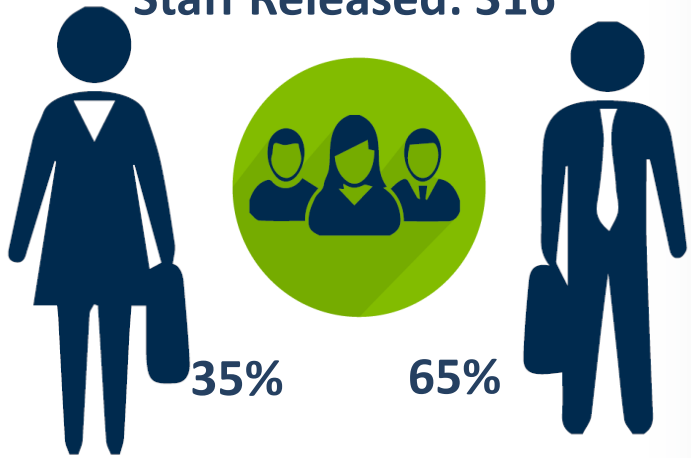


2017 Staff Rationalization programme

The key drivers of the programme

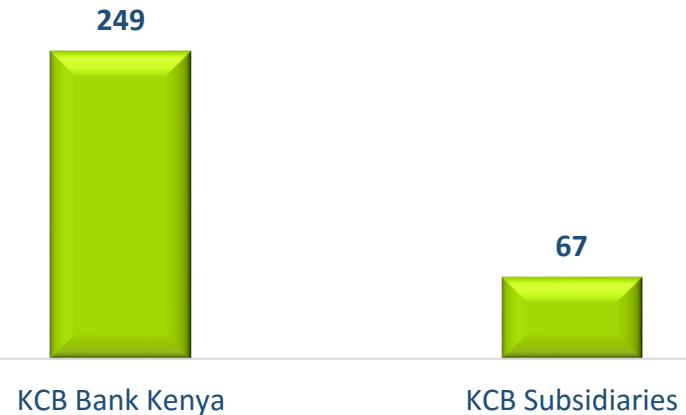
- Right sizing of the company's resource requirements
- Alignment to advancements and changes of technology and today's business operating models

Staff Released: 316

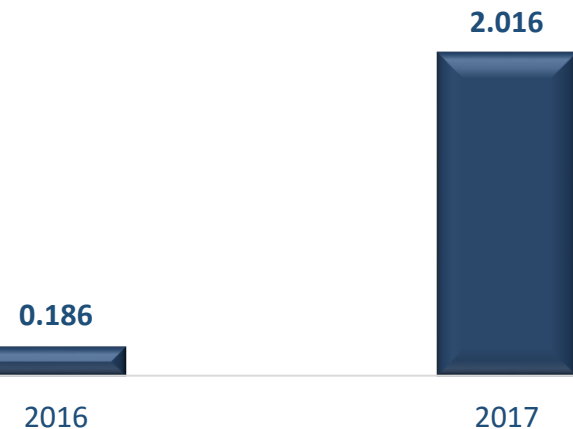


Average age: 45 years

Distribution



Total Spend (Kshs B)





OUR PERFORMANCE TO DATE

9% Total Assets growth driven by Net Loans & Advances

KCB Group

Net Loans and
advances

up 10%

KShs: 423B

Investment in
Govt.
Securities

**up
7%**

KShs: 110B

**Group Asset
Portfolio up
9%**

KShs: 647B

Cash and
Balances with
Central Bank
and other
Financial
Institutions

0%

KShs: 73B

Fixed and
other Assets

up 21%

KShs: 41B

KCB Bank Kenya

Net Loans and
advances

up 10%

KShs: 388B

Investment in
Govt.
Securities

**up
4%**

KShs: 95B

**KCB Bank
Kenya Asset
Portfolio up
10%**

KShs: 556B

Cash and
Balances with
Central Bank
and other
Financial
Institutions

**up
21%**

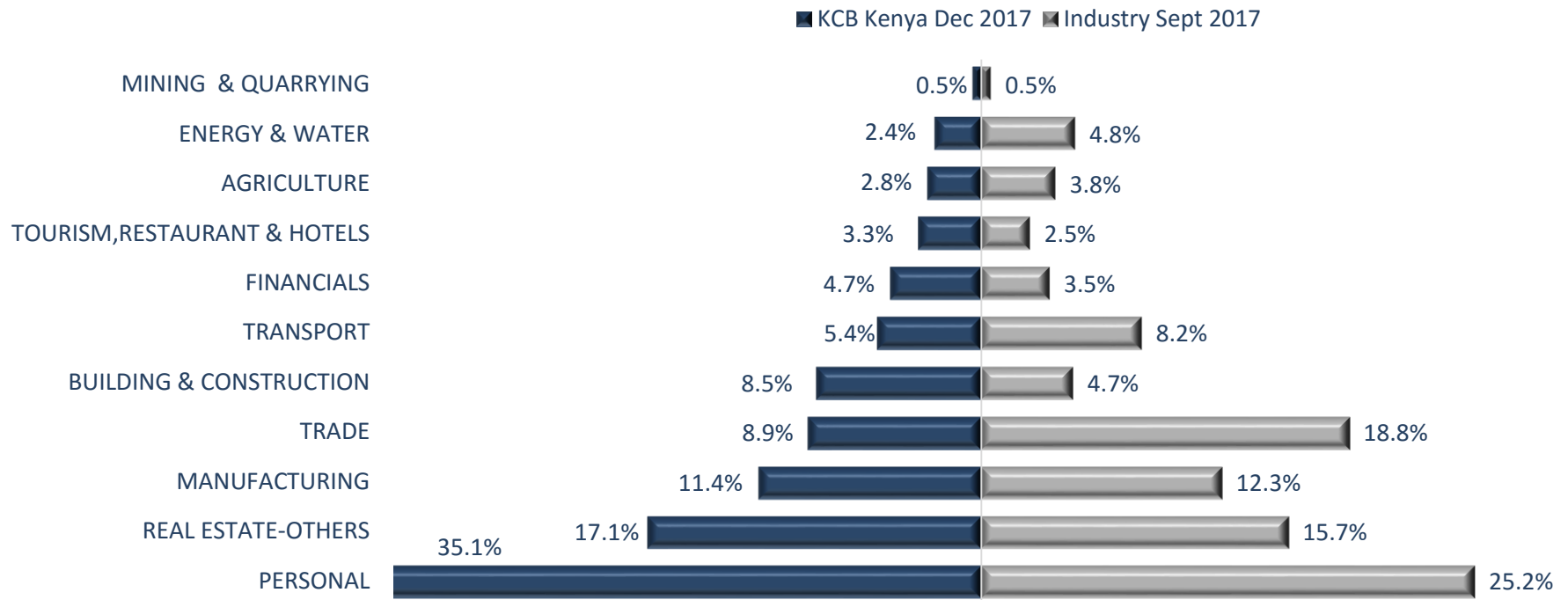
KShs: 39B

Fixed and
other Assets

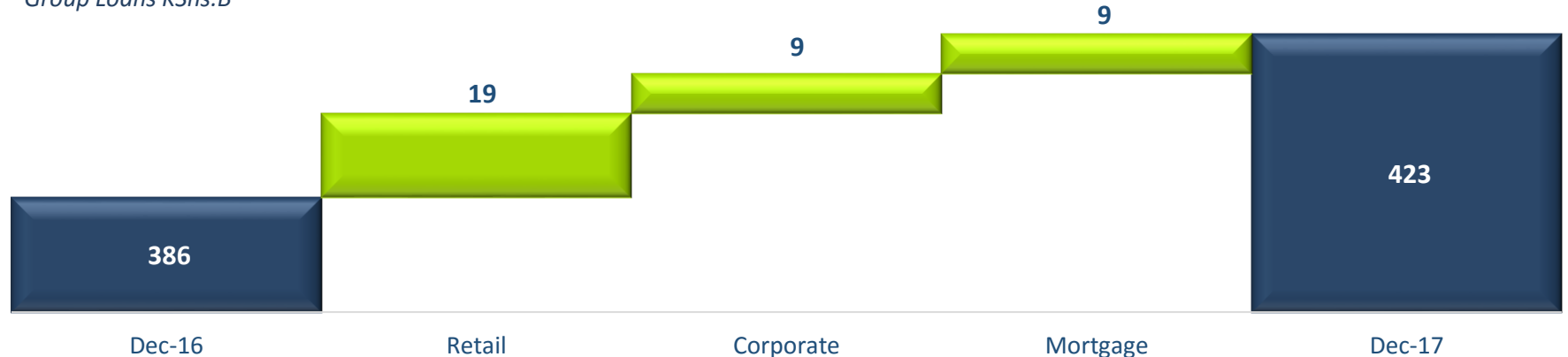
up 23%

KShs: 34B

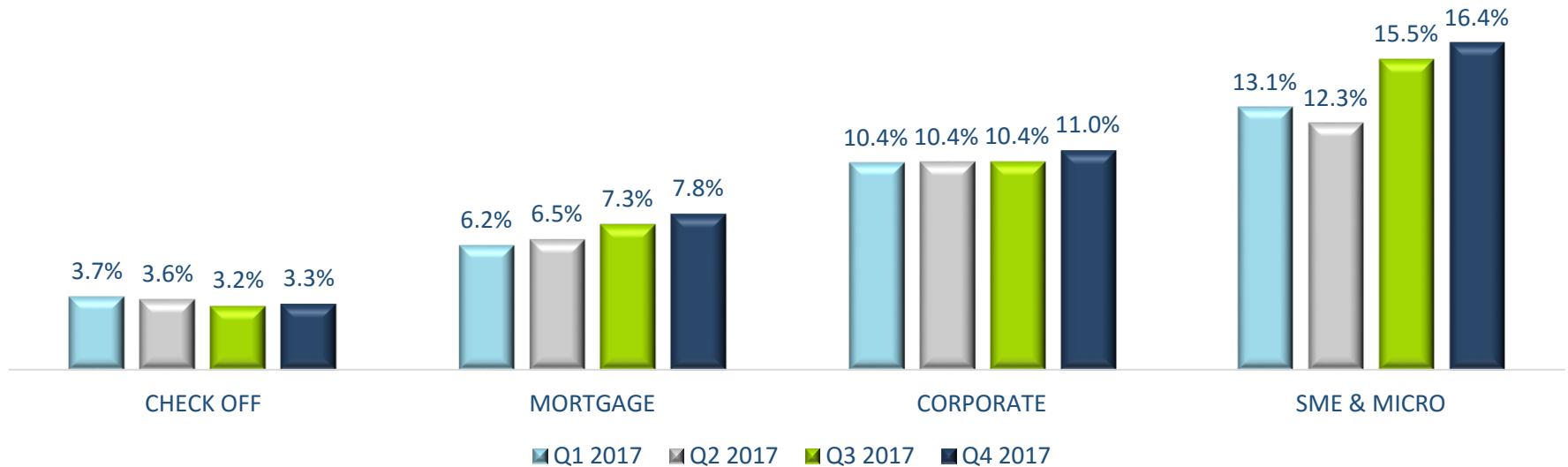
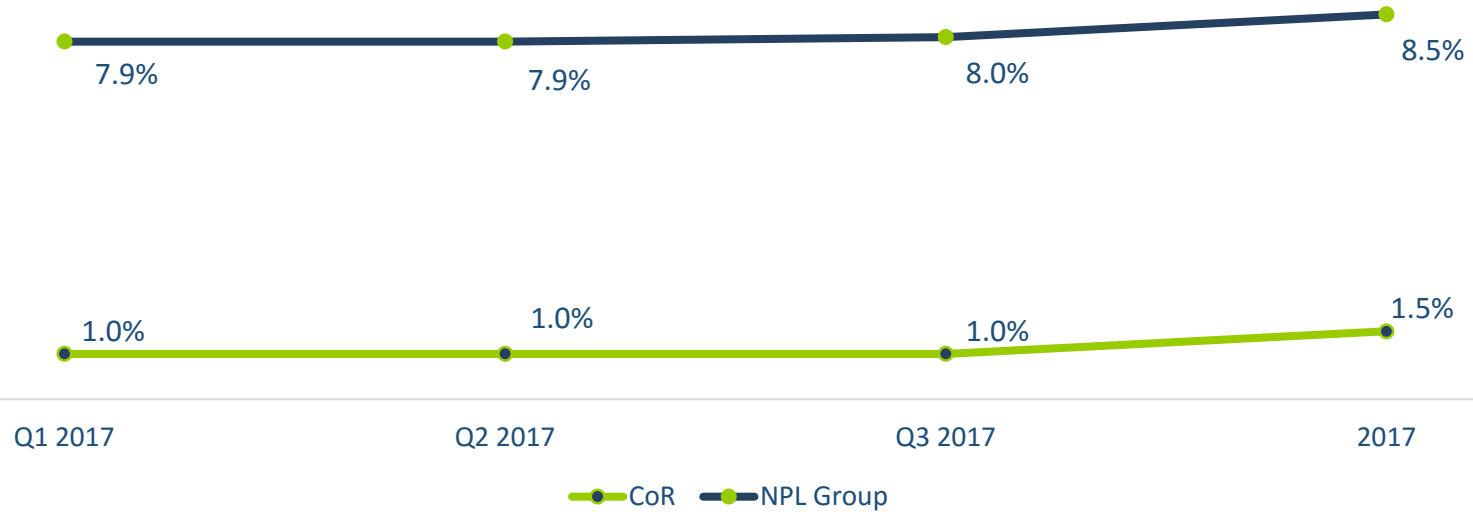
Well-diversified loan book



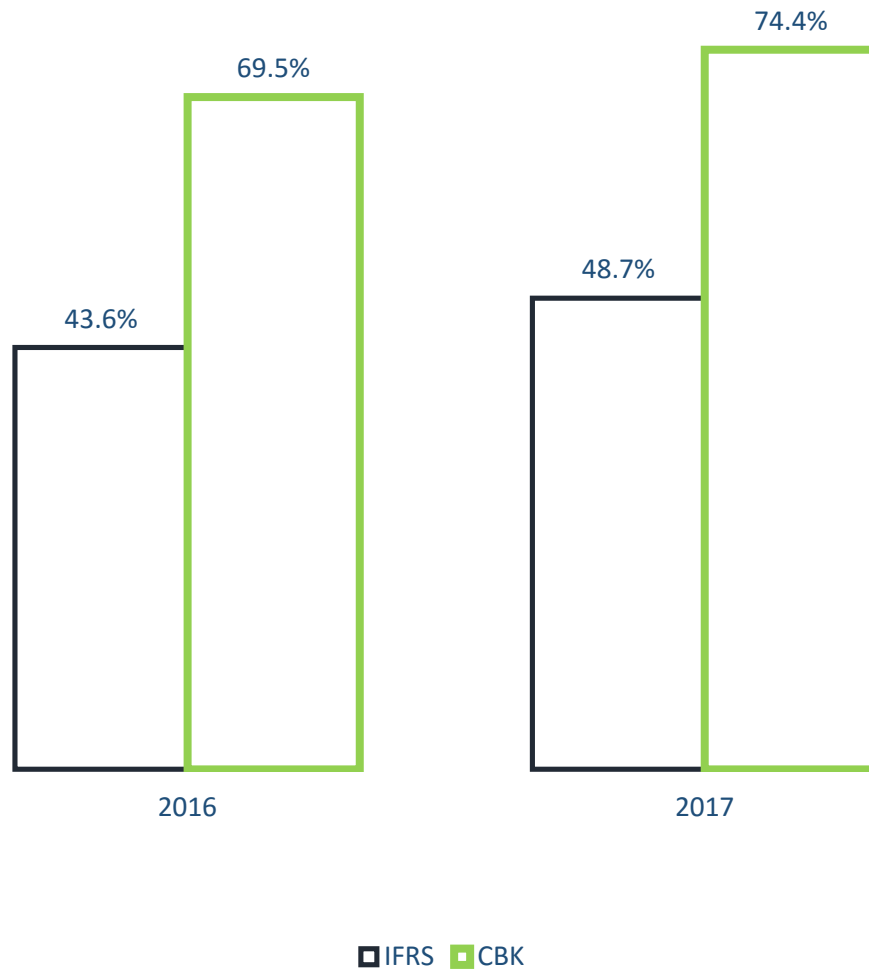
* Group Loans KShs.B



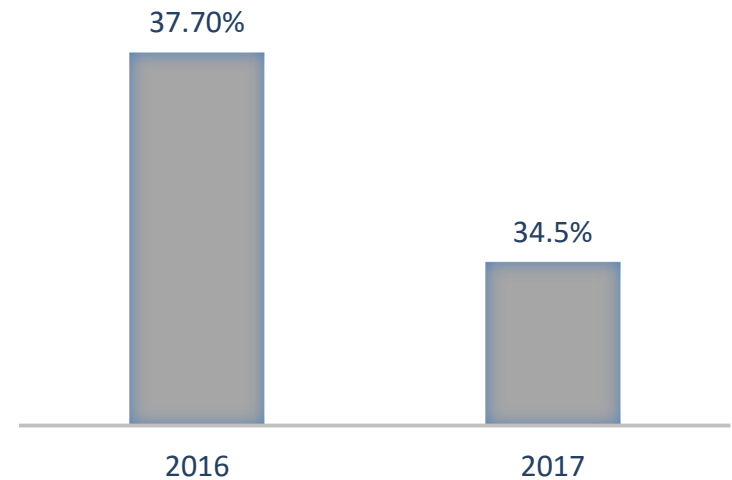
2017 NPL Movement



Steady Coverage Position



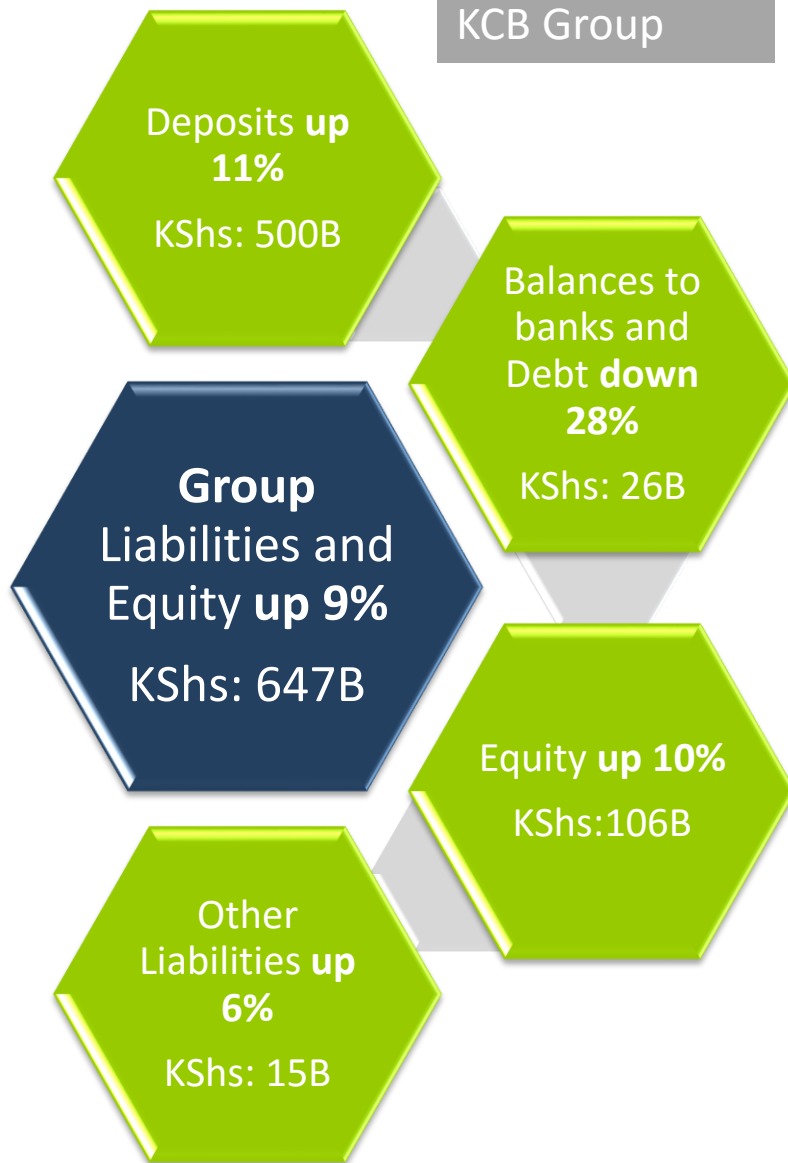
INDUSTRY



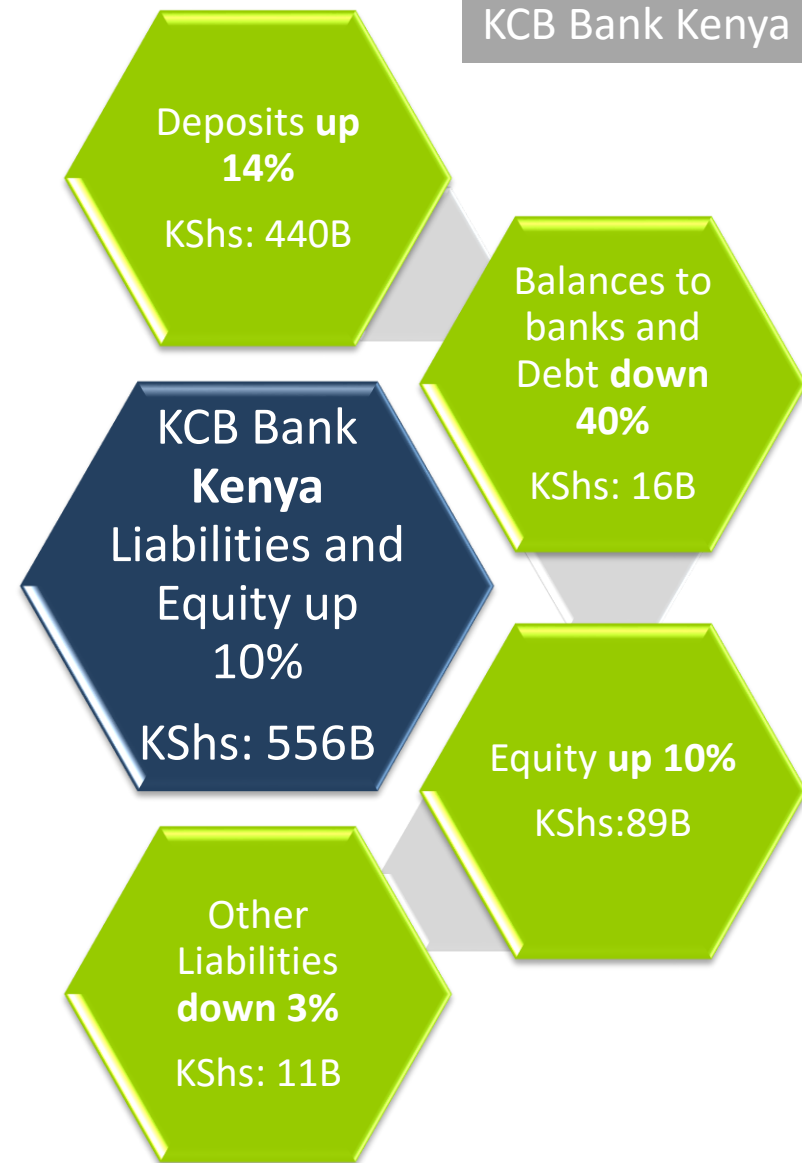
2017 industry position as at September

79% of Funding from Deposits

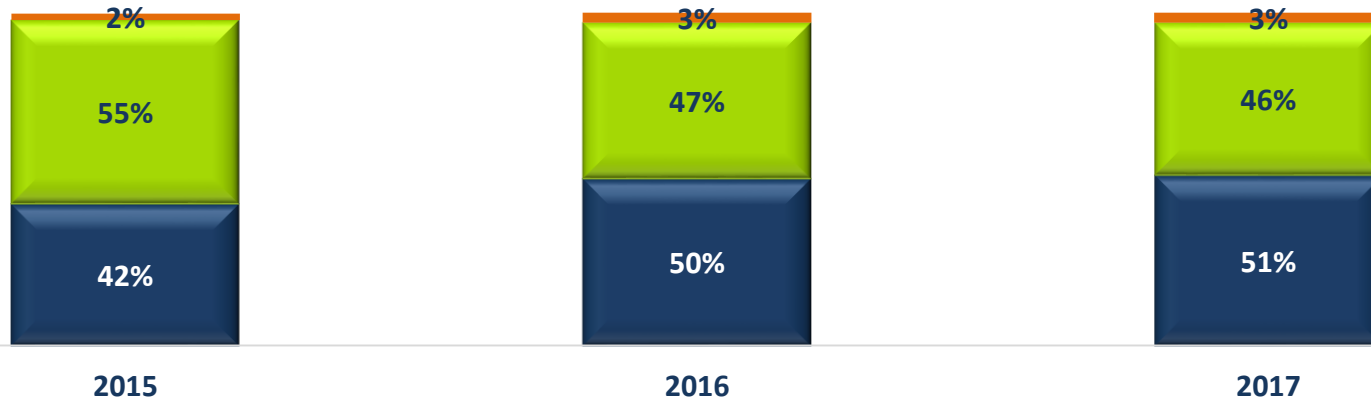
KCB Group



KCB Bank Kenya

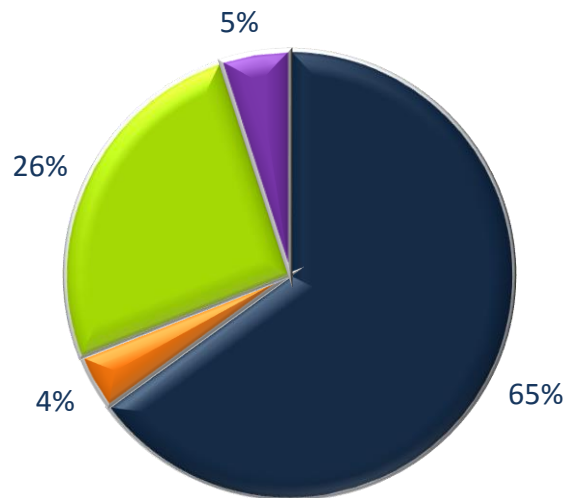


Well-funded and Diverse Portfolio

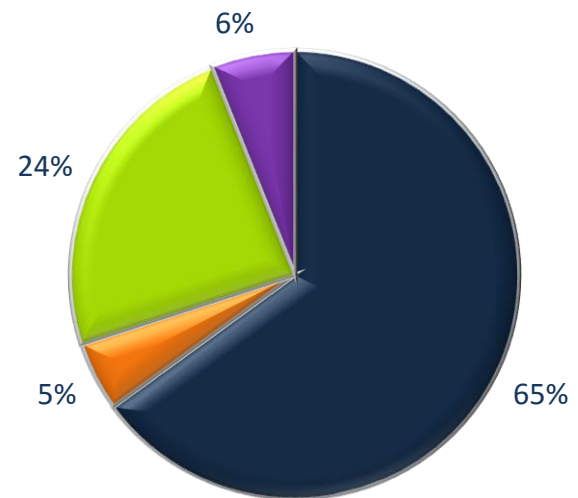


■ Corporate ■ Retail ■ Other

Deposits by Type FY 16



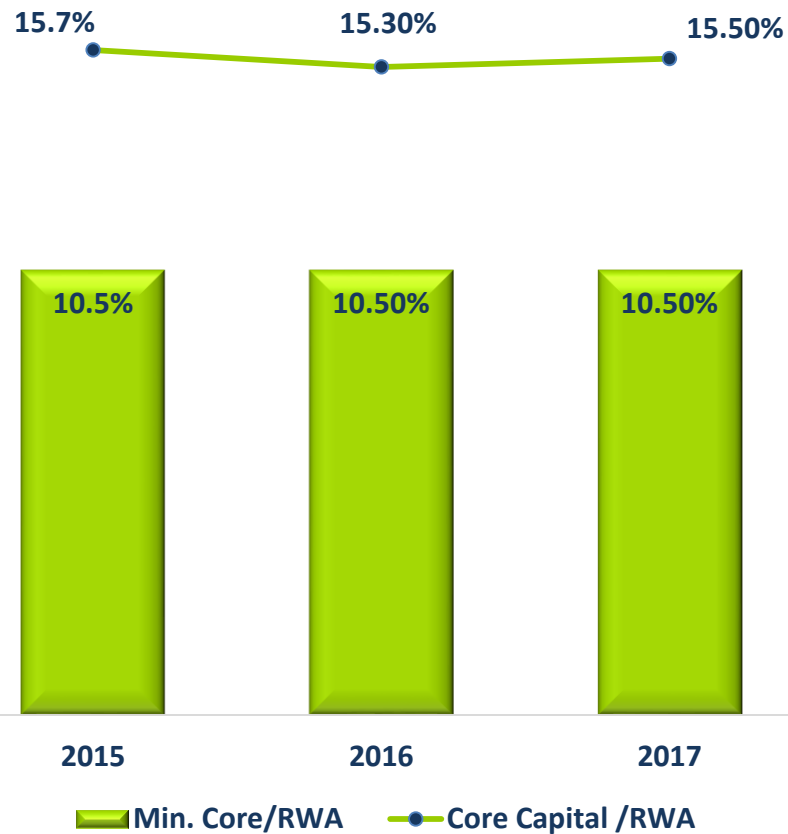
Deposits by Type FY 17



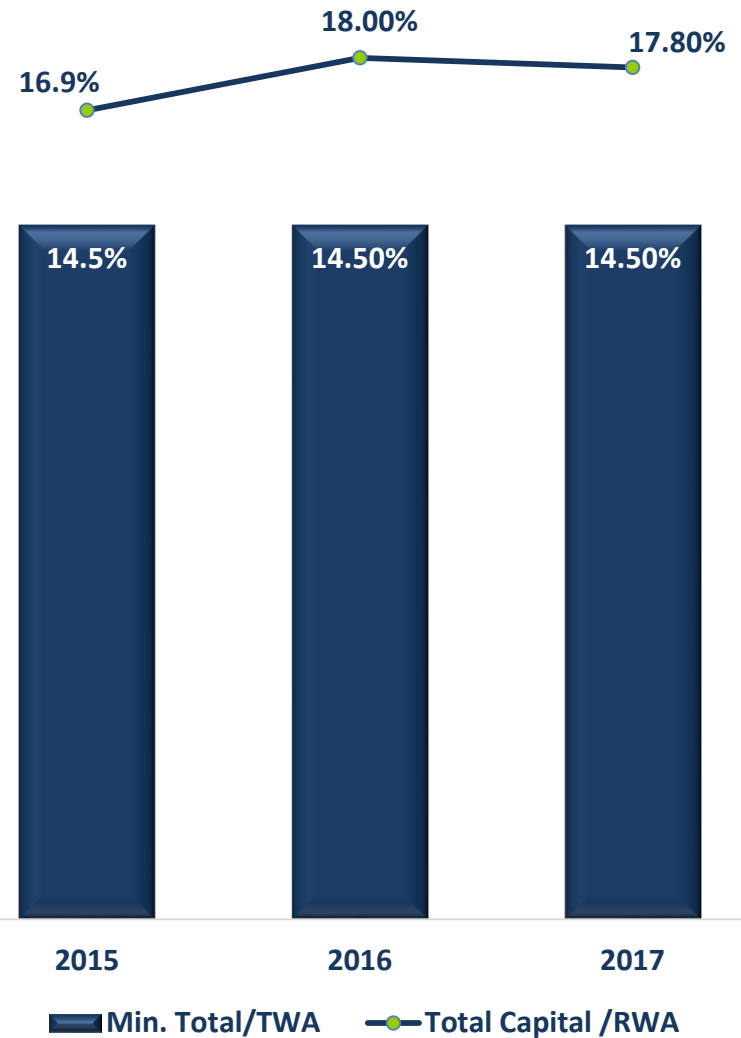
■ Demand ■ Savings ■ Term ■ Call

Strong capital foundation for the future

Group Core Capital to RWA



Group Total Capital to RWA



Resolute strategy delivers 9% balance sheet growth

KShs Billions	KCB Group			KCB Bank Kenya		
	Actual 2016	Actual 2017	Y-O-Y Change	Actual 2016	Actual 2017	Y-O-Y Change
Cash and balances with central bank	29.4	29.1	(1%)	26.1	26.0	(1%)
Balances with other institutions	43.7	43.9	0%	6.1	13.1	115%
Investments in Government & Other securities	102.5	110.0	7%	91.0	94.6	4%
Net loans and advances	385.7	422.7	10%	353.9	387.9	10%
Fixed assets	12.7	14.0	10%	9.2	9.5	3%
Other assets	21.2	27.1	28%	18.4	24.5	33%
Total Assets	595.2	646.7	9%	504.8	555.6	10%
Customer Deposits	448.2	499.5	11%	386.6	440.2	14%
Balances due to other banks	13.1	11.0	(16%)	5.6	5.2	(7%)
Other liabilities	14.4	15.2	6%	11.0	10.7	(3%)
Long-term debt	23.0	14.9	(35%)	20.6	10.6	(49%)
Total Liabilities	498.7	540.7	8%	423.8	466.6	10%
Shareholders' Equity	96.6	106.0	10%	81.0	89.0	10%
Total Liabilities and Equity	595.2	646.7	9%	504.8	555.6	10%

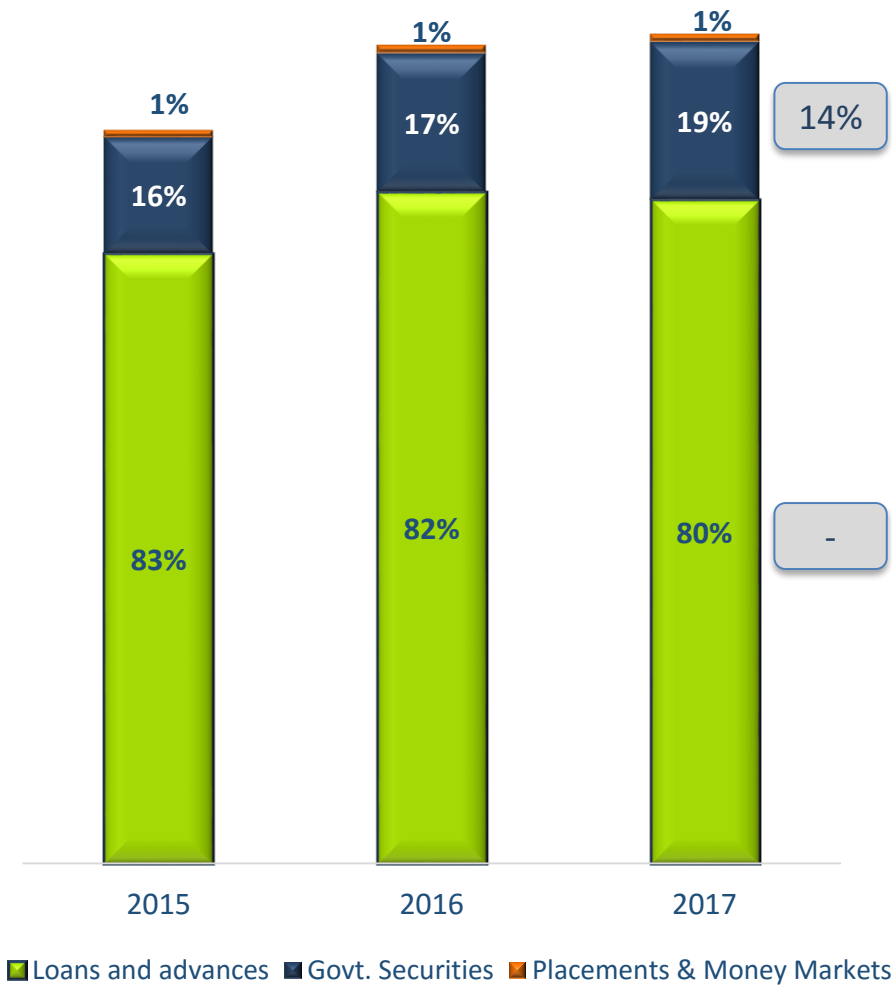
Stable profitability despite interest rate pressure

KShs Billions	KCB Group			KCB Bank Kenya		
	Actual 2016	Actual 2017	Y-O-Y Change	Actual 2016	Actual 2017	Y-O-Y Change
Interest Income	62.8	63.7	1%	56.2	56.9	1%
Interest Expense	(15.8)	(15.3)	(3%)	(13.3)	(12.8)	(3%)
Net interest income	47.0	48.4	3%	42.9	44.1	3%
Foreign exchange income	5.5	4.7	(15%)	2.2	2.9	33%
Net fees and commissions	12.6	14.7	16%	9.1	10.7	18%
Other income	4.3	3.6	(16%)	4.0	3.3	(18%)
Total other operating income	22.5	23.0	2%	15.3	16.9	11%
Total other operating expenses	(32.9)	(34.9)	(6%)	(25.9)	(28.6)	(9%)
Net provisions for bad debts	(3.8)	(5.9)	55%	(3.8)	(5.0)	32%
Profit Before Loss on Monetary Position	32.7	30.5	(7%)	28.5	27.5	(4%)
Loss on Monetary Position	(3.6)	(1.4)	(61%)	0.0	0.0	-
Profit before tax	29.1	29.1	0%	28.5	27.5	(4%)
Tax	(9.4)	(9.4)	0%	(8.7)	(8.2)	(5%)
Profit after tax	19.7	19.7	0%	19.8	19.2	(3%)

Income Distribution

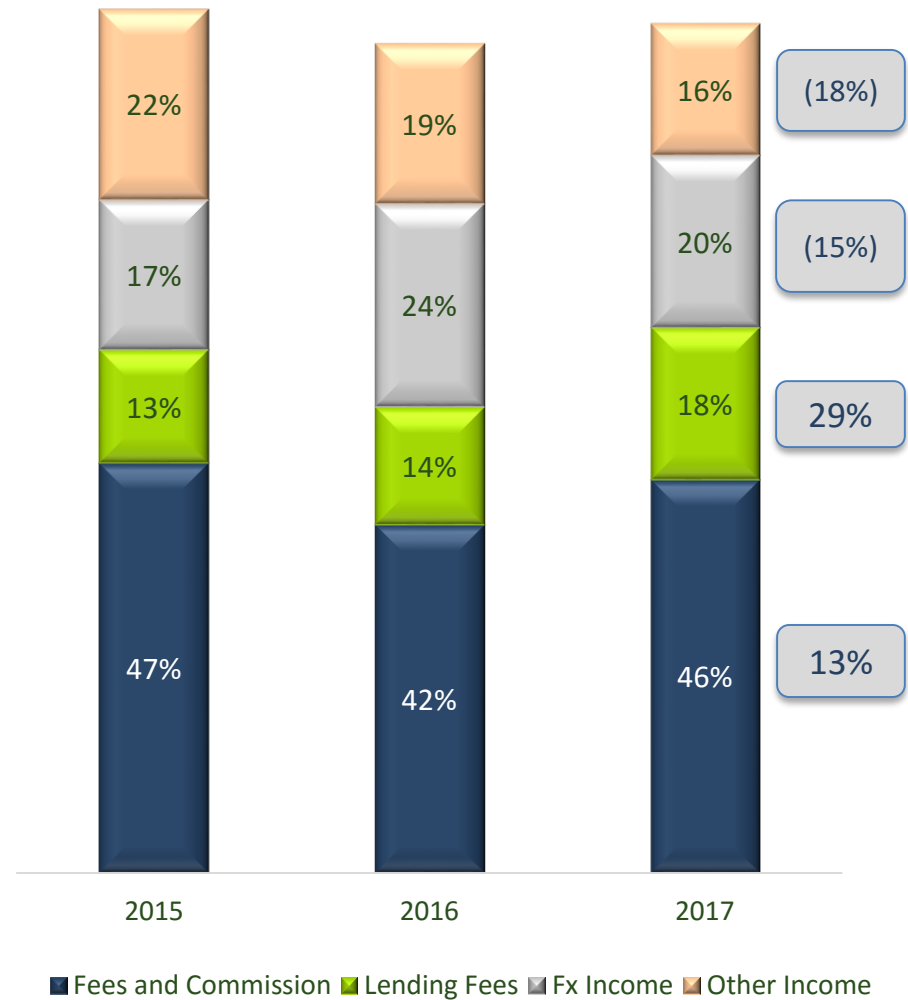
Interest Income & Growth

% Δ



NFI Mix & Growth

% Δ



Overview of Key Financial Ratios

Q1 17	Q217	Q3 17		KENYA	GROUP
20.3%	23.6%	20.1%	Return on Average Equity	22.6%	19.5%
52.5%	47.4%	51.9%	Cost to Income*	46.8%	46.2%
7.9%	7.8%	8.0%	Gross NPL to Gross Loans	8.5%	8.5%
79.6%	84.6%	85.6%	NPL Coverage	75.9%	74.4%
23.3%	14.5%	14.0%	Debt to Equity	11.9%	14.0%
35.0%	28.3%	32.9%	Non funded income to total income	27.7%	32.2%
3.1%	2.8%	2.9%	Cost of funds	2.9%	3.0%
7.9%	9.2%	9.1%	Net Interest Margin	9.1%	8.9%
1.0%	0.9%	1.0%	Cost of risk	1.4%	1.5%
86.6%	90.7%	87.4%	Loan to Deposit Ratio	88.7%	85.1%
14%	19%	15%	Growth of Net Loans and Advances	10%	10%
8%	16%	16%	Growth of Customer Deposits	14%	11%

*excluding one off restructuring costs

KCB Group paid an interim dividend in October 2017 of KShs. 1.00 per share.

At the AGM to be held on 27 April 2018, at Safaricom Kasarani Indoor Stadium, we shall propose a final dividend of KShs. 2.00 per share.

Based on the 2017 performance of the Group, the proposed dividend is maintained at the same payout level as 2016.

Taking into consideration business performance during the current year, the Group anticipates it shall be able to pay an interim dividend to shareholders.

Strategic Initiatives:

- Excellence in Customer experience: **NPS 60%**
- Digital financial services / AI: **NFI 40%**
- Strong shareholder value: **ROE >21%**
- Growth in Youth and Women enterprises
- Excellent operations performance: **CIR 45%**
- Outstanding employee engagement: **85% satisfaction level**

Targets:

- Continue to improve efficiency
- Increase shareholder value
- Manage asset quality
- Full digital transformation
- Relentless drive for excellence in customer experience

2018

Return on Average Equity	21.1%
Cost to Income Ratio*	46.0%
Gross NPL to Gross Loans	7.0%
Non funded income ratio	30.9%
Cost of Funds	3.3%
Net Interest Margin	8.7%
Cost of Risk	1.3%
Cost of Funds	3.3%
Customer Deposit Growth	11%
Net Loans Growth	8%

**excluding one off restructuring costs*

Thank you.

Investor Relations
Email: investorrelations@kcbgroup.com
www.kcbgroup.com